

THE BUZZ



MARKETS

Bulls on the Loose

The Indian stock markets will remain buoyant in the second half of 2023 as several macro-economic factors underpin their strength

BY RAHUL OBEROI

► **THE BULLS HAVE** seized control of the domestic stock markets, sending benchmark equity indices soaring to fresh record highs in July and announcing a successful beginning to the earnings season of Q1FY24. On July 18, the benchmark BSE Sensex scaled the 67,000 summit intra-day for the first time, thanks to sustained inflows from FIIs. The Nifty 50, too, hit a high of 19,819. Just days earlier, the Sensex had breached the 66,000-mark intra-day on July 13, after market participants gave a thumbs up to the financial results of IT majors TCS and HCL Technologies.

TCS, the largest IT firm by rev-

67,007

THE PEAK THE
BENCHMARK BSE SENSEX
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THE FIRST TIME IN
ITS HISTORY

enue, recorded a net profit of ₹11,074 crore in Q1FY24, up 17 per cent year-on-year (YoY), while HCL Tech reported a net profit of ₹3,534 crore, up 7.6 per cent YoY. After the results were announced, shares of TCS and HCL Tech closed 2.47 per cent and 0.09 per cent higher, respectively. Market analysts predict that Nifty companies will record strong bottom line growth in Q1FY24. Overall, profit growth is expected to be driven once again by the BFSI (banking, financial services and insurance) and automotive sectors.

“Nifty earnings are set to grow 25 per cent YoY in Q1FY24,” says Sneha Poddar, AVP, Research, Broking and Distribution, Motilal Oswal Financial Services. “The profitability of oil marketing companies (OMCs)

ILLUSTRATION BY RAJ VERMA